

buying shares in businesses. Firms make goods and provide services. As they grow, their profits rise. Good profits and potential growth are the basis for stock price rise. Rising prices, over the long term, reflect the growth and profits of a company.

Why do I say that stocks are the best route to get inflation-adjusted returns? Or returns that are higher than the rise in prices. Remember that FD returns usually get you returns that destroy your purchasing power. What is it about stock prices that make it inflation-adjusted? Again, go back to basics. As inflation rises in the system – the input costs for the firms go up – they are passed on to the consumers in the form of higher final prices. The ‘margins’ or the profits of the firm, therefore, get protection from the effect of input price inflation.

Why do I like giving my money an equity exposure so much?

Each time I show one slide in my workshops, lectures and talks, the audience gasps. There is disbelief on the faces at what they see. What is this slide? It shows the value of Rs 1 lakh invested in 1980 today in four different products. One, a fixed deposit. Two, gold. Three, public provident fund. Four, Sensex. Rs 1 lakh invested in each of these products and left to compound is worth Rs 19.35 lakhs in the fixed deposit, Rs 16.10 lakhs in gold, Rs 32.78 lakhs in PPF and, hold your breath, Rs 2.3 crores in the Sensex.

How did this happen? Surely gold did better? If you understood the first part of this chapter, and the book till now, you will understand these numbers too. FDs are low-return investments that destroy purchasing power due to the impact of inflation. PPF does better because of higher rates of interest. Gold does badly because its price goes through highs and lows, and while there are periods in the history of gold that could have made you a lot of money, over time it loses steam.

What is the magic about the Sensex that over almost forty years the money has grown exponentially? There is no magic. In a growing economy, a broad market index will always have the well-performing stocks of that time. Any